

25STCV34654 25STCV34654

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Case Number: 25STCV34654 Hearing Date: September 3, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

BILLY C. RENTERIA,

Plaintiff,

vs.

GENERAL MOTORS, LLC,

Defendant.

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CASE NO.: 25STCV34654

[TENTATIVE] ORDER DENYING MOTION TO STRIKE;
SUSTAINING DEFENDANT'S DEMURRER

Dept. 506

8:30 a.m.

September 3, 2026

On

November 25, 2025, Plaintiff Billy C. Renteria filed this action against Defendant
General Motors LLC arising from Plaintiff's purchase of an allegedly defective vehicle.

On

February 27, 2026, Defendant filed a demurrer to the fifth cause of action and a
motion to strike.

MOTION
TO STRIKE

The

court may, upon a motion or at any time in its discretion: (1) strike out any irrelevant,
false, or improper matter inserted in any pleading; or (2) strike out all or any
part of any pleading not drawn or filed in conformity with the laws of California,
a court rule, or an order of the court. (Code
Civ. Proc., § 436, subds. (a)-(b).)

Defendant

moves to strike Plaintiff's allegations about entitlement to civil penalties. Defendant argues that Plaintiff does not plead facts alleging pre-suit compliance pursuant to Code of Civil Procedure section 871.24. Whether Plaintiff did comply with the statute is a factual matter outside the scope of demurrer, and Defendant cites no binding authority requiring Plaintiff to allege compliance. If in fact Plaintiff did not comply with the statute, then civil penalties may not be available, but Defendant is not prejudiced by the allegations remaining in the Complaint.

The
motion to strike is denied.

DEMURRER

A

demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

A. The Fifth Cause of Action Fails to Plead
Fraud With Specificity.

Defendant

argues that the fifth cause of action for Fraudulent Inducement – Concealment does not allege facts with the requisite specificity. (Demurrer at pp. 8-14.)

Fraud

based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

An

essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’”

(Id. at p. 311.) “[O]ther than

the first instance, in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” [Citation.]’ [Citation.]”

(Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187

(Hoffman).) “Such a transaction must

necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler, supra, 7 Cal.App.5th at p. 312.)

Plaintiff alleges that Defendant knew about

the Transmission Defect before the sale of the vehicle. (Complaint ¶ 47; see Complaint ¶ 48 [listing defects].) Plaintiff did not know about these defects and

problems, and Defendant, who had superior knowledge of the defect, did not disclose the defects when Plaintiff purchased the vehicle. (E.g., Complaint ¶¶ 50-56.) These allegations are specific enough to allege the information that was concealed and the danger posed. (See Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.)

However,

Plaintiff does not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See Hoffman, supra, 228 Cal.App.4th at p. 1187.) Plaintiff alleges that Defendant

“knew that the Vehicle and its 10-speed transmission suffered from an inherent defect, was defective, would fail prematurely, and was not suitable for its intended use.” (Complaint ¶ 52.) There are no facts showing that Defendant’s knowledge

was exclusive or that Defendant intended to defraud. Indeed, Plaintiff alleges that there were prior customer complaints, suggesting that the knowledge was in fact public. (Complaint ¶ 53.)

Moreover,
in a transaction that does not involve fiduciary or confidential relations, the
“transaction must necessarily arise from direct dealings between the plaintiff and
the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler, supra, 7 Cal.App.5th at
pp. 311-312.) Plaintiff alleges no such direct
transaction with Defendant and direct concealment by Defendant.

The
demurrer is sustained on this ground.

B. The Fifth Cause of Action is Barred by
the Economic Loss Rule.

Defendant
argues that the fifth cause of action is barred by the economic loss rule. (Demurrer at pp. 14-16.)

Under
the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated
because the product he bought is not working properly, his remedy is said to be
in contract alone, for he has suffered only ‘economic’ losses.” (Robinson Helicopter Co., Inc. v. Dana Corp.
(2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.) However, tort damages may be permitted when the
breach of contract is accompanied by a tort such as fraud. (Id. at pp. 989-990.) To plead around the economic loss rule, a
party
must plead the existence of a duty that arises independent of any contractual duty
and independent injury, other than economic loss, that arises from the breach of
that duty. (Id. at pp. 988-991.)

“[U]nder
California law, the economic loss rule does not bar [a claim] for fraudulent inducement
by concealment. Fraudulent inducement claims
fall within an exception to the economic loss rule recognized by our Supreme Court”
in Robinson, and such claims allege fraudulent conduct that is independent
of the alleged warranty breaches. (Dhital
v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The Supreme Court has confirmed that “the economic
loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024)
17 Cal.5th 1, 38.) “A plaintiff may assert
a tort claim for fraudulent concealment based on conduct occurring in the course
of a contractual relationship, if the elements of the cause of action can be established
independently of the parties’ contractual rights and obligations and the tortious

conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Ibid.)

Accordingly,
a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule. Here, however, Plaintiff does
not establish all elements of fraudulent concealment independently of the parties’ contractual rights and obligations.

Additionally,
Plaintiff fails to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Plaintiff “was harmed by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Transmission Defect.” (Complaint ¶ 57.) This harm is purely economic from the purchase of the vehicle. Plaintiff’s allegation that he “unknowingly exposed themselves [sic] to the risk of liability, accident and injury as a result of Defendant GM’s fraudulent concealment of the Transmission Defect” (Complaint ¶ 57) does not state that Plaintiff was in fact damaged. Unknown risk that does not result in liability or injury by definition is not actual damage. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 202 [“Misrepresentation, even maliciously committed, does not support a cause of action unless the plaintiff suffered consequential damages,” concurring opinion]; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248 [“as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage”].)

Plaintiff’s
only alleged harm is the economic harm from the purchase of the vehicle, which was within the reasonable contemplation of the parties when they entered into the agreement. (See Rattagan, supra, 17 Cal.5th at p. 38.) Accordingly, this cause of action is barred by the economic loss rule.

The
demurrer to the fifth cause of action is sustained.

CONCLUSION

The

motion to strike is DENIED.

The
demurrer to the fifth cause of action is SUSTAINED.

At
the hearing, Plaintiff should be prepared to explain what additional facts will
be pleaded and exactly how any amendments can remedy the deficiencies of the Complaint
without making it a sham pleading. The Court
will decide at the hearing whether to grant leave to file a First Amended Complaint.

IF LEAVE TO AMEND: Plaintiff is granted 30 days' leave to amend.

IF NO LEAVE TO AMEND: Defendant is ordered to file an answer to the
remainder of the Complaint within 10 days.

Moving
party to give notice.

Parties
who intend to submit on this tentative must send an email to the Court at SMCDEPT506@lacourt.ca.gov
indicating intention to submit. If all parties
in the case submit on the tentative ruling, no appearances before the Court are
required unless a companion hearing (for example, a Case Management Conference)
is also on calendar.

Dated this 3rd day of September 2026

Hon. Thomas D. Long

Judge of the Superior
Court